REFINED
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COST SEGREGATION STUDY · SAMPLE REPORT

Northwoods Lake Cabin

"Sample: lakefront short-term rental"

Oneida County, Wisconsin · Vilas-Oneida lakes region · Lakefront cabin, 3 bedrooms, 2 baths

RESIDENTIAL · 1-4 UNIT | SHORT-TERM RENTAL | ATG-ALIGNED | QC-REVIEWED | SAMPLE

SAMPLE

PREPARED FOR	REPORT DATE	DEPRECIABLE BASIS
Sample Client	Sample · October 2026	$548,354

SAMPLE · Prepared from the appraisal, the contractor invoice and owner-reported costs ahead of the inspection. Figures are illustrative until the study is finalized. Not for submission with a filed return.

Results at a Glance

01

Through a documentary analysis of the subject property, we reclassified *$110,050* of the depreciable basis, 20.1%, into short-life 5-, 7- and 15-year property, in line with what a well-documented residential file of this kind typically supports. Of that, $83,200 comes from the purchase allocation, including the furnishings, dock and lift that conveyed with the sale, and $26,850 from the 2026 improvements.



39-Year, Straight-Line Building structure · Real property (§1250)	79.9%	$438,304.32
15-Year, 150% Declining Balance Site / land improvements	8.9%	$49,000.00
7-Year, 200% Declining Balance Equipment and tools (§1245)	0.2%	$1,200.00
5-Year, 200% Declining Balance Tangible personal property (§1245)	10.9%	$59,850.00

$110,050 reclassified into **short-life property**: 20.1% of the $548,354 depreciable basis now recovers over 5-, 7- and 15-year schedules rather than 39 years. The resulting tax benefit depends on your facts; confirm application with your CPA.

PRICE + CLOSING COSTS	LAND + CLEARING	IMPROVEMENTS (2026)	DEPRECIABLE BASIS
$729,247	$268,298	$85,905	$548,354

ALLOCATION OF DEPRECIABLE BASIS



39-Year $438,304.32 **15-Year** $49,000.00 **7-Year** $1,200.00 **5-Year** $59,850.00

Estimated First-Year Impact

02

The property was acquired under a contract signed on 09/29/2025 and is projected to be placed in service in November 2026, so the 5-, 7- and 15-year property qualifies for 100% bonus depreciation in the year it is placed in service.

BASIS RECLASSIFIED TO SHORT-LIFE

$110,050

5-, 7- and 15-year property eligible for 100% bonus depreciation in year one (20.1% of basis).

ILLUSTRATIVE FIRST-YEAR TAX SAVINGS

$35,103

At a 32% marginal rate · first-year acceleration × rate · illustrative only.

SCENARIO	RECLASSIFIED BASIS	MARGINAL RATE	ILLUSTRATIVE YR-1 SAVINGS
Conservative	$110,050.00	24%	**$26,327.34**
Mid · typical residential investor	$110,050.00	32%	**$35,103.13**
Top bracket	$110,050.00	37%	**$40,587.99**

FIRST-YEAR DEPRECIATION, WHOLE PROPERTY (BUILDING AT A MID-MONTH NOVEMBER START)

WITH THIS STUDY (100% BONUS)

$111,455

WITHOUT A STUDY (39-YR SL)

$1,757.55

FIRST-YEAR ACCELERATION

$109,697

additional deduction, year one

METHODOLOGY & ASSUMPTIONS

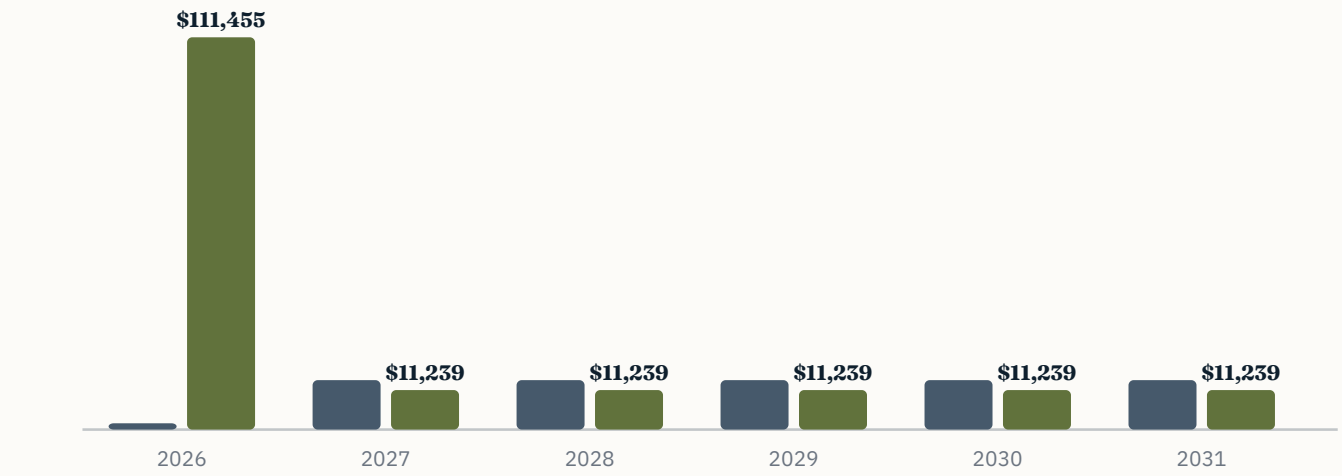
Illustrative only, not a promise of results and not tax advice. First-year savings equal the first-year depreciation acceleration (accelerated minus standard schedule) multiplied by the stated marginal rate, with bonus depreciation at 100% for property acquired (contract signed) and placed in service after January 19, 2025. The building is shown on the mid-month convention from a projected November 2026 in-service date; the preparer confirms the as-filed date and convention. Figures do not reflect passive-activity or material-participation limits, the short-term-rental rules, state income tax, or future depreciation recapture. Confirm treatment for your specific facts with your CPA.

Year-by-Year Depreciation: Standard vs. Accelerated

02 · cont.

The same $548,354 is recovered either way; the study changes when. Six years are shown.

DEPRECIATION BY YEAR, FIRST SIX YEARS



TAX YEAR	STANDARD (39-YR SL)	ACCELERATED (WITH STUDY)	ADDITIONAL THAT YEAR	CUMULATIVE ADDITIONAL
Year 1 (2026)	$1,757.55	$111,454.82	**$109,697.27**	$109,697.27
Year 2 (2027)	$14,060.37	$11,238.57	**($2,821.80)**	$106,875.47
Year 3 (2028)	$14,060.37	$11,238.57	**($2,821.80)**	$104,053.67
Year 4 (2029)	$14,060.37	$11,238.57	**($2,821.80)**	$101,231.87
Year 5 (2030)	$14,060.37	$11,238.57	**($2,821.80)**	$98,410.07
Year 6 (2031)	$14,060.37	$11,238.57	**($2,821.80)**	$95,588.27

READING THIS TABLE

Standard: the whole depreciable basis on 39-year straight-line. Accelerated: 100% bonus on the $110,050 of 5-, 7- and 15-year property in year one, and the $438,304 building on 39-year straight-line. Year one is prorated for a mid-November start. After year one the accelerated schedule deducts less each year than the standard schedule, because the short-life property has already been recovered; the cumulative advantage declines over the holding period and reverses on a sale through depreciation recapture.

The Subject Property

03

In accordance with your engagement, we allocated the purchase price and the 2026 improvements across the appropriate *MACRS* recovery classes for federal income-tax depreciation, reconciled to your documented depreciable basis.

PROPERTY PROFILE

Taxpayer	**Sample Client**
First Tax Year of Study	**2026**
Property Name	**Sample: lakefront short-term rental**
Location	**Oneida County, Wisconsin**
Property Type	**Single-Family Rental**
Use	**Short-term rental**
Avg Guest Stay	**7 nights or fewer (owner-reported)**
Year Built	**2000**
Purchase Contract Date	**09/29/2025**
Closing	**2026 (per settlement statement)**
Placed in Service	**11/15/2026 (projected)**
Stories	**1.5 with full basement**
Living Area / Basement	**1,704 / 1,176 sq ft**
Detached Garage	**720 sq ft**
Site	**1.36 acres · 211.7 ft of frontage**
1031 Exchange	**No**

BASIS RECONCILIATION

Purchase Price	**$728,000.00**
Plus: Capitalized Closing Costs	**$1,247.00**
Less: Land Value (36.6%)	**($266,797.68)**
Purchase Allocation	**$462,449.32**
Plus: Post-Purchase Improvements	**$87,405.00**
Less: Clearing & Grubbing (to land)	**($1,500.00)**
Depreciable Basis	**$548,354.32**

A note on the land

Land does not depreciate and is excluded from the allocation that follows. The land share is the county assessor's ratio from the 2025 property tax bill: assessed land $120,000 of $328,000 total, 36.6%, applied to the $728,000 contract price plus $1,247 of capitalized closing costs. The lender's appraisal put the site at 40.3% of value; the assessor's ratio is the primary source and the appraisal is retained in the workpapers as a cross-check. Lake frontage (211.7 feet) carries most of the land value. The brush and vegetation clearing for the fire-pit and kayak area ($1,500 of the contractor's $4,500 line, owner to confirm the split) is initial clearing and grubbing, added to land and not depreciated (TAM 200043015); the gravel pad itself is a 15-year land improvement (Rev. Rul. 74-265).

Inspection & documentation

This sample is built from the lender's appraisal (May 2026), the contractor's four-page invoice, and the owner's list of further improvements. The final study adds the owner's photo record, the closing statement and county records, with a documented tax-position and quality-control review before delivery.

Building recovery period

Transient short-term rental with an owner-reported average guest stay of seven nights or fewer: the building structure is recovered over 39 years (IRC §168(e)(2)(A)(ii)(I); a dwelling unit excludes units used on a transient basis). If the average stay exceeds seven days in a tax year, the preparer should reassess; at 27.5 years the reclassified amount is unchanged.

Asset Detail: Personal Property

Tangible personal property reclassified to 5- and 7-year recovery periods under IRC §1245, the fastest-depreciating assets identified in the study. The sale conveyed the cabin fully furnished, with televisions, grills, deck furniture, the dock and the boat lift; those items are carried at used fair value.

5-YR **Tangible Personal Property** · 200% declining balance · IRC §1245 — **$59,850.00**

COMPONENT	ALLOCATED BASIS
Kitchen appliances: range, dishwasher, microwave, refrigerator	$4,800.00
Carpet and pad, bedrooms and basement	$4,050.00
Floating laminate flooring, main level	$4,400.00
Window blinds and treatments	$1,200.00
Decorative light fixtures (existing)	$900.00
Dedicated appliance circuits and hook-ups	$800.00
Bath accessories, mirrors and closet systems	$1,050.00
Furnishings conveyed with the sale: beds, sofas, tables, dressers	$14,500.00
Deck and patio furniture conveyed	$2,200.00
Televisions and wall mounts conveyed	$1,500.00
Grills conveyed	$600.00
Post-purchase improvements, 2026 (see section 06)	$23,850.00

7-YR **Equipment and Tools** · 200% declining balance · Rev. Proc. 87-56 class 00.11 — **$1,200.00**

COMPONENT	ALLOCATED BASIS
Lawn mower and shed tools conveyed	$1,200.00

Judgment calls, stated plainly

Three items were kept in the building class even though some studies would move them: the standby generator (it serves the whole-house electrical system), the well pressure tank and sediment filter (part of the water supply), and the kitchen and bar countertops (attached to cabinetry). The sauna, the portable hot tub and their dedicated circuits are personal property because they serve equipment rather than the building. Carpet, furniture, televisions, grills and the three decorative fixtures are conventional 5-year items; the lawn mower and shed tools are 7-year equipment. Conveyed contents are valued at what they would fetch used, not at replacement cost, and the owner keeps the inventory.

Asset Detail: Site & Building

05

15-YR **Site & Land Improvements** · 150% declining balance — **$49,000.00**

COMPONENT	ALLOCATED BASIS
Asphalt driveway and parking apron	$7,200.00
Drilled well and casing	$9,500.00
Septic tank and drain field	$12,000.00
Pier and dock sections	$5,500.00
Boat lift (conveyed with the sale)	$4,200.00
Landscaping, lawn and boulder retaining	$5,500.00
Playground set	$1,500.00
Exterior yard lighting	$600.00
Post-purchase improvements, 2026 (see section 06)	$3,000.00

39-YR **Real Property, Building Structure** · straight-line · IRC §1250 — **$438,304.32**

COMPONENT	ALLOCATED BASIS
Foundation, basement walls and slab	$52,800.00
Framing, sheathing and insulation	$68,400.00
Roofing, gutters and downspouts	$19,200.00
Vinyl siding, trim and exterior doors	$22,600.00
Windows and storm sashes	$18,900.00
Interior walls, ceilings and finishes	$41,300.00
Interior doors, trim and stairs	$14,700.00
Kitchen cabinets and countertops	$16,800.00
Plumbing rough-in and fixtures (2 baths)	$21,400.00
Forced-air LP furnace, ducting and central air	$17,600.00
Electrical service, wiring and general lighting	$19,800.00
Masonry fireplace and chimney	$9,400.00
Bi-level deck, railings and covered porch	$13,200.00
Detached two-car garage (720 sq ft)	$24,900.00
Finished basement: partitions, finishes, egress	$18,249.32
Post-purchase improvements, 2026 (see section 06)	$59,055.00

Total Depreciable Basis **$548,354.32**

Tie-out: land $268,297.68 + 5-year $59,850.00 + 7-year $1,200.00 + 15-year $49,000.00 + building $438,304.32 = $816,652.00, which equals the $729,247.00 cost of acquisition plus $87,405.00 of improvements. Difference $0.00. No pro-rata step-up was applied.

Post-Purchase Improvements

06

$87,405 of 2026 improvements, itemized from the contractor's invoice and the owner's list, classified line by line; $85,905 is depreciable.

DATE	LINE ITEM	CLASS	COST	SOURCE
08/2026	Front entry: storm door, strike plate and weather stripping	39-year	$725.00	Contractor invoice (08/13/2026), p.1
08/2026	Entry, loft and track lighting replaced	39-year	$375.00	Contractor invoice (08/13/2026), p.1
08/2026	Kitchen: tile backsplash to ceiling, drywall, prime	39-year	$2,100.00	Contractor invoice (08/13/2026), p.1
08/2026	Kitchen: can-light removal, ceiling paint, counter removal	39-year	$1,050.00	Contractor invoice (08/13/2026), p.1
08/2026	Kitchen: pendant fixture over island (decorative)	5-year	$300.00	Contractor invoice (08/13/2026), p.1
08/2026	Kitchen: island wrap and kickboard; custom banquette with storage	39-year	$3,450.00	Contractor invoice (08/13/2026), p.1
08/2026	Hallway bath: demolition, cement board, penny tile floor	39-year	$2,900.00	Contractor invoice (08/13/2026), p.1
08/2026	Hallway bath: vanity, toilet, faucet, mirror, towel bars, walls	39-year	$1,425.00	Contractor invoice (08/13/2026), p.1
08/2026	Hallway bath: vanity sconces and shower fixtures	39-year	$600.00	Contractor invoice (08/13/2026), p.2
08/2026	Bunk room: light, reading sconces, drywall and paint	39-year	$1,800.00	Contractor invoice (08/13/2026), p.2
08/2026	Primary bedroom: wall repair, paint	39-year	$1,050.00	Contractor invoice (08/13/2026), p.2
08/2026	Primary bedroom: chandelier (decorative)	5-year	$250.00	Contractor invoice (08/13/2026), p.2
08/2026	Basement: full drywall renovation, skim coats, corners	39-year	$3,200.00	Contractor invoice (08/13/2026), p.2
08/2026	Basement: switches, wiring patch, stair and exterior lights	39-year	$425.00	Contractor invoice (08/13/2026), p.2
08/2026	Basement: television mount	5-year	$150.00	Contractor invoice (08/13/2026), p.2
08/2026	Living room: chandelier (decorative)	5-year	$250.00	Contractor invoice (08/13/2026), p.2
08/2026	Basement: paint, texture, drop-ceiling leveling	39-year	$1,250.00	Contractor invoice (08/13/2026), p.2
08/2026	Lower bar: butcher-block tops, sink cut-out, undermount sink and plumbing	39-year	$3,975.00	Contractor invoice (08/13/2026), p.2
08/2026	Lower cabinets sanded and painted	39-year	$900.00	Contractor invoice (08/13/2026), p.3
08/2026	Utility closet: moisture remediation, poly over insulation	39-year	$515.00	Contractor invoice (08/13/2026), p.3
08/2026	Hang-out room: drywall finish, lighting and outlet	39-year	$1,625.00	Contractor invoice (08/13/2026), p.3
08/2026	Hang-out room: carpet and pad over concrete	5-year	$250.00	Contractor invoice (08/13/2026), p.3
08/2026	Hang-out room: custom toy-storage cabinet with bookshelf	5-year	$750.00	Contractor invoice (08/13/2026), p.3
08/2026	Hang-out room: solid-core door with child door	39-year	$1,200.00	Contractor invoice (08/13/2026), p.3
08/2026	Laundry: oak six-panel door, poly over insulation	39-year	$875.00	Contractor invoice (08/13/2026), p.3
08/2026	Basement bath: walls, mirror, light, vented fan	39-year	$1,375.00	Contractor invoice (08/13/2026), p.3
08/2026	Bedroom: door, light fixture, texture and paint	39-year	$1,100.00	Contractor invoice (08/13/2026), p.3
08/2026	Upstairs bath: mirror, light, faucet, drywall and paint	39-year	$950.00	Contractor invoice (08/13/2026), p.3-4
08/2026	Upstairs bedroom: fan-light, smoke alarm, drywall, closet light	39-year	$1,465.00	Contractor invoice (08/13/2026), p.4
08/2026	Deck: entry step footings, railings, boards, lower stair and landing	39-year	$6,025.00	Contractor invoice (08/13/2026), p.4
08/2026	Fire-pit and kayak area: crushed-gravel pad over road-gravel base	15-year	$3,000.00	Contractor invoice (08/13/2026), p.4 (pad share of the $4,500 line)
10/2026	Sauna	5-year	$7,500.00	Owner-reported cost; invoice to be filed in workpapers

DATE	LINE ITEM	CLASS	COST	SOURCE
10/2026	**Dedicated electrical for sauna and hot tub**	5-year	**$4,200.00**	Owner-reported cost; invoice to be filed in workpapers
10/2026	**Hot tub (portable spa)**	5-year	**$5,200.00**	Owner-reported cost; invoice to be filed in workpapers
10/2026	**Standby generator and transfer switch**	39-year	**$12,500.00**	Owner-reported cost; invoice to be filed in workpapers
10/2026	**Kitchen countertops**	39-year	**$3,200.00**	Owner-reported cost; invoice to be filed in workpapers
10/2026	**Furniture and furnishings**	5-year	**$5,000.00**	Owner-reported cost; invoice to be filed in workpapers
10/2026	**Well pressure tank and whole-house sediment filter**	39-year	**$3,000.00**	Owner-reported cost; invoice to be filed in workpapers

CLASSIFICATION SUMMARY

5-year personal property	**$23,850.00**
15-year site improvements	**$3,000.00**
39-year building	**$59,055.00**
Clearing carried to land	**($1,500.00)**
Total improvement basis	**$85,905.00**

Documentary support

Each line states its cost source: the contractor's invoice (four pages, $46,805) or the owner's reported cost. The owner keeps the underlying records. $1,500 of the fire-pit and kayak line is brush clearing and is carried to land, not to this schedule. Every improvement on this schedule was contracted after January 19, 2025 and before the property was placed in service, so it is capitalized with the property and shares its in-service date. Three invoice lines marked OMIT were not performed and are excluded.

Our Process & Method

A clean, four-step process for residential rental property: a documented inspection record backed by photo evidence, with a documented quality-control review before delivery.

01

Intake

Structured online intake: closing statement, property photos, and improvement details.

ABOUT 15 MINUTES

02

Modeling

Asset schedule built from a residential cost library, classified by recovery period and reconciled to documented basis.

DAYS 1 TO 4

03

Quality-Control Review

Every file passes a documented quality-control review before delivery.

DAYS 4 TO 8

04

Delivery

A report formatted for your CPA to file from, with a fixed-asset schedule for import.

DAYS 8 TO 10

A documentary, ATG-aligned method

Our analysis is prepared consistent with the methodological elements described in the IRS Cost Segregation Audit Techniques Guide. Data sources: the structured owner questionnaire (the interview record), the transaction documents (purchase contract, appraisal, settlement statement, county tax bill), the contractor's invoice, the owner's photographic record and public records (assessor and GIS), all retained in the workpapers. We identify the components that qualify for 5-, 7- and 15-year recovery and reconcile every allocation to the documented depreciable basis.

Cost basis & references

Each purchase-allocation component is priced from a residential cost library (R.S. Means) adjusted to the property's locality, with quantities taken from the appraisal, photographs and county records. Improvements are carried at invoice or owner-reported cost. Components are mapped to their CSI MasterFormat divisions, and the reference index appears in the appendix.

§1245 vs. §1250 property

Classification rests on the permanence inquiry of *Whiteco Industries, Inc. v. Commissioner*, 65 T.C. 664 (1975), and the structural-component definitions of Treas. Reg. §1.48-1(e) as applied through IRC §1245(a)(3): whether an item is an inherent part of the permanent structure, and whether it is movable or serves equipment rather than the operation of the building. Recovery periods follow Rev. Proc. 87-56 (asset classes 57.0, 00.11 and 00.3) and IRS Publication 527's treatment of appliances, carpet and furniture in a residential rental activity. Land improvements follow Rev. Rul. 74-265; initial clearing and grading follow TAM 200043015.

Records & quality-control review

Regulations require records showing the cost basis and depreciation allowance for each item; this report supplies that schedule. Every file is reviewed through our quality-control process before it leaves Refined.

Review & Notes

08

Refined Cost Segregation confirms, except as otherwise noted in this report, that to the best of our knowledge and belief:

1	The statements of fact are true and correct, based on owner-provided documentation, property photos, and public records.
2	The analyses and conclusions are our unbiased professional work, prepared consistent with the methodological elements described in the IRS Cost Segregation Audit Techniques Guide.
3	We have no present or prospective interest in the subject property and no personal bias with respect to the parties involved.
4	Our compensation is a fixed fee and is not contingent on any specific value, finding, or outcome.
5	Our process, methodology, and quality-control review are applied to every file before delivery. The preparer and reviewer of record are named in the workpapers.
6	The assumptions and limiting conditions in Appendix B apply, and Appendix B indexes this report against the quality elements the Audit Techniques Guide describes.

Refined Cost Segregation · Milwaukee, WI

Review: Documented methodology & quality-control review before delivery · **Issued:** Sample · October 2026

REFINED
QC REVIEWED

IMPORTANT: HOW TO USE THIS REPORT

Documented for examination. This report is prepared consistent with the methodological elements described in the IRS Cost Segregation Audit Techniques Guide, supported by workpapers, and quality-control reviewed. Do not file it with your tax return; provide it to the IRS only if specifically requested during an examination.

"Placed in service" means the date the property was ready and available for its intended use: for a rental, the day it was available to rent (listed or move-in ready), not the closing date. This report's depreciation schedules run from that date. A machine-readable fixed-asset schedule (.csv) accompanies every final report for direct import into depreciation software. This report is not tax, legal, or accounting advice.

Sample status. This sample precedes the inspection and the final invoices. Purchase-allocation amounts are modeled; improvement amounts are as invoiced or as reported by the owner. The final study may differ.

Report format: sample build v1.2 (2026-10-16) · Cost data: R.S. Means 2026 residential unit costs · File: SAMPLE-0001 · Law in effect as of the issue date.

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Appendix: Cost-Basis References

A

Substantiation index for each purchase-allocation component: the CSI MasterFormat division and the cost reference behind the priced assembly. Improvement lines are referenced on the section 06 schedule. Retain with your workpapers; provide only if requested during an examination.

5-YR Tangible Personal Property · 200% DB · Asset Guideline Class 57.0 / 00.11 — **$36,000.00**

COMPONENT	CSI DIVISION	SOURCE	COST REFERENCE(S)
Kitchen appliances: range, dishwasher, microwave, refrigerator	11 30 00 Residential Equipment	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Carpet and pad, bedrooms and basement	09 68 00 Carpeting	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Floating laminate flooring, main level	09 64 00 Wood Flooring	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Window blinds and treatments	12 20 00 Window Treatments	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Decorative light fixtures (existing)	26 51 00 Interior Lighting	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Dedicated appliance circuits and hook-ups	26 05 00 Electrical	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Bath accessories, mirrors and closet systems	10 28 00 Toilet, Bath Accessories	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Furnishings conveyed with the sale: beds, sofas, tables, dressers	12 50 00 Furniture	Owner statement; conveyed fully furnished	Allocated at used fair value; inventory in workpapers
Deck and patio furniture conveyed	12 93 00 Site Furnishings	Owner statement	Allocated at used fair value
Televisions and wall mounts conveyed	27 41 00 Audio-Video Systems	Owner statement	Allocated at used fair value
Grills conveyed	11 30 00 Residential Equipment	Owner statement	Allocated at used fair value

7-YR Equipment and Tools · 200% DB · Rev. Proc. 87-56 class 00.11 — **$1,200.00**

COMPONENT	CSI DIVISION	SOURCE	COST REFERENCE(S)
Lawn mower and shed tools conveyed	11 30 00 Residential Equipment	Owner statement	Rev. Proc. 87-56 class 00.11 (7-year); allocated at used fair value

15-YR Site & Land Improvements · 150% DB · Asset Guideline Class 00.3 — **$46,000.00**

COMPONENT	CSI DIVISION	SOURCE	COST REFERENCE(S)
Asphalt driveway and parking apron	32 12 16 Asphalt Paving	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Drilled well and casing	33 21 00 Water Supply Wells	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Septic tank and drain field	33 36 00 Septic Systems	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Pier and dock sections	35 51 13 Floating Piers	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Boat lift (conveyed with the sale)	35 51 13 Floating Piers	Owner statement	Allocated at used fair value
Landscaping, lawn and boulder retaining	32 90 00 Planting	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Playground set	11 68 00 Play Field Equipment	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Exterior yard lighting	26 56 00 Exterior Lighting	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record

Appendix: Cost-Basis References

39-YR Real Property, Building Structure · Straight-Line · IRC §1250 **$379,249.32**

COMPONENT	CSI DIVISION	SOURCE	COST REFERENCE(S)
Foundation, basement walls and slab	03 30 00 Cast-in-Place Concrete	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Framing, sheathing and insulation	06 11 00 Wood Framing	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Roofing, gutters and downspouts	07 31 00 Shingles	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Vinyl siding, trim and exterior doors	07 46 00 Siding	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Windows and storm sashes	08 50 00 Windows	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Interior walls, ceilings and finishes	09 29 00 Gypsum Board	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Interior doors, trim and stairs	06 20 00 Finish Carpentry	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Kitchen cabinets and countertops	12 35 30 Residential Casework	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Plumbing rough-in and fixtures (2 baths)	22 40 00 Plumbing Fixtures	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Forced-air LP furnace, ducting and central air	23 54 00 Furnaces	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Electrical service, wiring and general lighting	26 05 00 Electrical	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Masonry fireplace and chimney	04 57 00 Masonry Fireplaces	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Bi-level deck, railings and covered porch	06 15 00 Wood Decking	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Detached two-car garage (720 sq ft)	13 34 00 Fabricated Structures	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record
Finished basement: partitions, finishes, egress	09 00 00 Finishes	R.S. Means residential unit costs, 2026, Northern Wisconsin locality	Workpapers: take-off from photographs, appraisal and county record

Improvements

Post-purchase improvements of $85,905.00 ($23,850.00 5-year, $3,000.00 15-year, $59,055.00 building) are listed line by line on the section 06 schedule with their invoice page or owner-report reference, and appear in the fixed-asset schedule at cost.

Appendix: Conditions and ATG Index

B

This study is subject to the following assumptions and limiting conditions. The table that follows indexes the report against the principal elements of a quality cost segregation study as described in the IRS Cost Segregation Audit Techniques Guide.

1 The study uses a documentary method: owner-captured photographs, transaction documents and public records, without a site visit by the preparer unless stated. Quantities not visible in the record are taken from the appraisal's measurements.

2 Statements of fact supplied by the owner (costs, dates, conveyed contents, use of the property) are relied upon as true. A change in those facts changes the allocation.

3 Values are allocations of cost for federal depreciation only. They are not appraisals of market value and must not be used for financing, insurance or sale.

4 Purchase-allocation components are priced from R.S. Means residential unit costs for the release noted, adjusted to the property's locality, with the residual to the building structure. Improvements are carried at invoice or owner-reported cost. Conveyed contents are carried at used fair value, not replacement cost.

5 If the depreciable basis is restated (a corrected settlement statement, a different land source, a basis adjustment), the allocation should be rerun; the percentages do not carry over automatically.

6 The analysis reflects federal law in effect on the issue date, including 100% bonus depreciation for property acquired (contract signed) and placed in service after January 19, 2025. State conformity is outside the scope.

7 Scope is a 1 to 4 unit residential building held for rental. The 39-year building period relies on the owner-reported average guest stay of seven nights or fewer; if the average stay exceeds seven days in a tax year, the preparer should reassess. No §481(a) look-back is included.

8 This report is not tax, legal or accounting advice. The taxpayer's return preparer decides how the schedule is applied, including the convention, any election out of bonus depreciation by class, and the passive-activity rules.

#	ATG QUALITY ELEMENT	WHERE IT IS ADDRESSED
1	Preparation by an individual with expertise and experience	Preparer and reviewer of record in the workpapers; firm attribution and review line in section 08
2	Detailed description of the methodology	Section 07; Appendix B conditions 1 and 4
3	Use of appropriate documentation	Section 03 (documents relied on), section 06 (invoice and owner sources), Appendix A references
4	Interviews conducted with appropriate parties	Structured owner questionnaire and owner statements, retained in the workpapers
5	Use of a common nomenclature	Component names follow CSI MasterFormat divisions (Appendix A) with no creative descriptions
6	Use of a standard numbering system	CSI MasterFormat division numbers in Appendix A; Rev. Proc. 87-56 asset classes on each class heading
7	Explanation of the legal analysis with citations	Section 07 (§1245 vs. §1250), section 03 (land and clearing), Appendix B condition 7
8	Determination of unit costs and quantity take-offs	Appendix A sources and references; take-off detail in the workpapers
9	Organization of assets into lists or groups	Sections 04 and 05 by recovery class; section 06 by improvement line; fixed-asset CSV
10	Reconciliation of total allocated costs to total actual costs	Section 03 basis reconciliation; section 05 tie-out; the unallocated residual is the 39-year building structure
11	Explanation of the treatment of indirect costs	Capitalized closing costs allocated by the land ratio (section 03); improvement costs classified with their related assets (section 06)
12	Identification and listing of §1245 property	Section 04 and the 5- and 7-year groups of Appendix A
13	Consideration of related aspects (e.g., §263A, §1031, change in accounting method)	No §1031 exchange; no prior depreciation; §481(a) not applicable (section 03). Bonus eligibility stated in section 02